manage the business cycle more efficiently as its interest-rate calibration will have a bigger impact. When the economy is slowing, it will cut interest rates to encourage people to spend more; conversely, when the economy is overheating, it will raise interest rates to discourage spending.

There is, of course, opposition to abolishing cash altogether and going completely online. People apprehend invasion of privacy. The very audit trail that allows the checking of illegal activities can turn into an Orwellian nightmare where citizens' every step is recorded in a Big Brother database for tax, financial and monetary purposes. Worse still, should some hackers tap into the information base, the consequences can be disruptive. People argue that the anonymity of cash keeps them free from government snooping and that some criminality is a price worth paying for this liberty.

The economic case for a cashless economy on the argument that it enables the central bank to run a countercyclical policy more efficiently is also contested by some experts who argue that it will deliver results no better than the conventional monetary policy, and may in fact, do worse.

A debate such as this is far too premature for India. We are hardly ready to contemplate the elimination of cash. Our objective is more limited—to shift from a cash-intensive economy to a less cash-intensive economy since the benefits of this shift, at our stage of development, unarguably, outweigh the costs.

Meanwhile, physical currency with the governor's promise will continue to be around, reminding the governor of his dharma.